The table shows the full height works about half the time, so you might want to cut the height in half to boost the probability of success.

Once you know the target, use Table 41.3 to see if the predicted percentage decline is unrealistic for the number of failures which occur.

Wait for confirmation. Returning to Table 41.10, since anything can happen, it is always a good idea to wait for confirmation before selling an existing holding or shorting a new position. There is a chance price will not close below the breakout price before rising, so you'll want to wait for confirmation (a breakout).

Busted pattern. Single busted head-and-shoulders tops in bull markets can lead to large gains, so consider finding and trading one of those.

Experience

In the 1990s, I sold a number of times before the head-and-shoulders confirmed as a valid chart pattern (often before the right shoulder appeared). In four trades, the stocks saw additional gains, but most were small. In one case, however, I missed out on a 44% rise. In other words, just the potential threat of a head-and-shoulders top sent me scurrying for the exits, leaving behind profit.

Michaels Stores

In Michaels Stores (MIK, 1998), I sold too soon, but it was near the top, so it didn't matter too much.

Graco

In Graco (GGG, 2003), I bought an earnings flag that later formed a head-and-shoulders top. I sold when the pattern confirmed as a valid pattern, but the pattern triple busted and went on to gain 53%. *Ouch*.

Pinnacle West Capital Corp.

Pinnacle West Capital Corp. (PNW), **Figure 41.6**, shows an example of how I used to trade head-and-shoulders tops. In mid-October 2008, I bought the stock but don't have any notes for this entry except to say that I was